

There is no single "magic formula" that guarantees a successful entry point in forex trading. However, successful traders rely on a **rules-based system** that combines technical indicators, price action, and rigorous risk management to identify high-probability entry points. This document outlines a 4-step framework tailored for the EUR/USD pair.

The Confluence Framework (4-Step Setup)

This strategy uses a combination of trend direction, momentum, and key price levels. You only enter a trade when all four conditions align. Apply a 50 EMA, a 200 EMA, and an RSI (14) to your chart.

1. Identify the Trend (Baseline)

Never trade against the prevailing trend unless you are a highly experienced counter-trend trader.

- **Uptrend (BUY):** 50 EMA is above the 200 EMA, and price is above both.
- **Downtrend (SELL):** 50 EMA is below the 200 EMA, and price is below both.

2. Wait for the Pullback (Setup)

Do not buy when the price is peaking or sell at the bottom. Wait for the price to pull back to an area of value.

- **For a BUY:** Wait for price to drop and touch the 50 EMA or Support.
- **For a SELL:** Wait for price to rise and test the 50 EMA or Resistance.

3. Confirm Momentum (Trigger)

Check the Relative Strength Index (RSI - 14) to ensure the momentum supports your planned entry.

- **For a BUY:** RSI recovering from oversold (crossing above 30) or sitting above 50.
- **For a SELL:** RSI rejecting overbought (crossing below 70) or sitting below 50.

4. Price Action (Entry)

Before executing the trade, wait for a candlestick pattern to confirm the market is rejecting the level.

- **For a BUY:** Look for a bullish engulfing candle or a pin bar (hammer) at support.
- **For a SELL:** Look for a bearish engulfing candle or shooting star at resistance.

Summary Rule:

ENTER TRADE = (Trend Direction Confirmed) + (Pullback to Value Area) + (Momentum Alignment on RSI) + (Candlestick Confirmation) + (Risk Managed)

Calculating Trade Risk

Position Sizing Formula

Never risk more than 1-2% of your total account balance on a single trade.

$$\text{Lot Size} = (\text{Account Balance} \times \text{Risk \%}) / (\text{SL Pips} \times \text{Pip Value})$$

Practical Walkthrough: EUR/USD Long Position

Trader Profile: Account Balance: \$1,000 | Max Risk: 1% (\$10) | Chart: 1-Hour (1H)

Phase 1: Checking the Chart Conditions

Checklist Step	Market Condition Observed	Verdict
1. Trend	50 EMA is at 1.0850. 200 EMA is at 1.0800.	50 EMA > 200 EMA. Uptrend (Buy only).
2. Pullback	Price recently hit 1.0900, falls to 1.0855.	Price has dropped to test the 50 EMA value area.
3. Momentum	RSI dipped to 32 but hooks upwards to 40.	Downward momentum is fading; buyers stepping in.
4. Price Action	1H candle closes as a Bullish Pin Bar.	Strong buyer rejection at support. Valid Signal.

Phase 2: The Math & Execution on Exness

Before pressing "Buy", calculate trade parameters based on the Pin Bar close.

- **Entry Price:** Market buy at the opening of the next candle: **1.0860**.
- **Stop Loss (SL):** Safely below the pin bar's wick and 50 EMA: **1.0840**.
(SL Distance = 20 pips)
- **Take Profit (TP):** Aiming for a 1:2 Risk/Reward ratio. Risk is 20 pips, reward is 40 pips.
(TP Target = 1.0860 + 0.0040 = **1.0900**)

Applying the Lot Size Formula: